

4. Insights and Recommendations Report

4.1 Key Insights

- **Overtime is the Primary Churn Driver:** Working overtime shows a strong positive correlation with employee attrition.
- **Income & Job Level Impact:** Lower monthly income and entry-level job roles significantly increase flight risk.
- **Tenure Sensitivity:** Employees with lower total working years and fewer years under their current manager are more prone to leaving.
- **Demographics & Work-Life Factors:** Single employees and those living farther from the workplace show higher attrition rates.

4.2 Feature Importance

Top contributing features driving employee attrition (based on model coefficients and feature correlation analysis):

1. **OverTime**
2. **MonthlyIncome**
3. **TotalWorkingYears**
4. **YearsWithCurrManager**
5. **DistanceFromHome**

4.3 Business Recommendations

1. Optimize Overtime & Workload Distribution

- **Implement Overtime Caps:** Establish strict limits on mandatory overtime hours, particularly in high-volume departments.
- **Resource Rebalancing:** Redistribute workloads or hire contract/seasonal support to reduce employee burnout.

2. Adjust Compensation for Entry-Level Roles

- **Targeted Salary Reviews:** Benchmark and adjust pay scales for entry-level and lower job-level positions that fall below market averages.
- **Retention Bonuses & Incentives:** Introduce tenure-based financial incentives to improve long-term retention.

3. Enhance Early-Tenure & Manager Support

- **Managerial Check-Ins:** Implement structured mentorship and check-in programs for employees during their first 1–3 years under a new manager.
- **Flexible Work Options:** Offer flexible work arrangements or commute support for employees residing farther from the office.